In the past five years, the output of capital goods increased at average growth rate of 14.9%. However, it de-grew by 4% in FY12. on account of economic slowdown leading to sluggish domestic industrial growth. The slowdown in infrastructure as well as key user industries strained the industry players with slowdown in order inflow, delay in taking deliveries/execution of projects and delayed bill payments. Further, the surge in cheaper capital goods import was also partly responsible for the decline in production growth in FY12, as the use of second-hand machinery is high in certain sectors.

Current Scenario

Growth has declined during the first nine months of FY13

As peruse-based classification, in Apr-Dec FY13, the capital goods production declined by 10.1% as compared to a decline of 2.9% in the same period of corresponding year. Month wise, barring October, this sector has witnessed negative growth during the first nine months of the FY13.

Currently a major concern for this industry is the slowdown of ordering activity because of the slowdown in the macro economy. On the supply side, the industry's output determines its investment scenario. From the past one year, the prevailing economic slowdown has lowered the investment into the sector; this fiscal, the sector has also faced some structural issues of uncertainty in coal supply and losses of state electricity boards (SEBs) have made banks weary for lending to the sector.